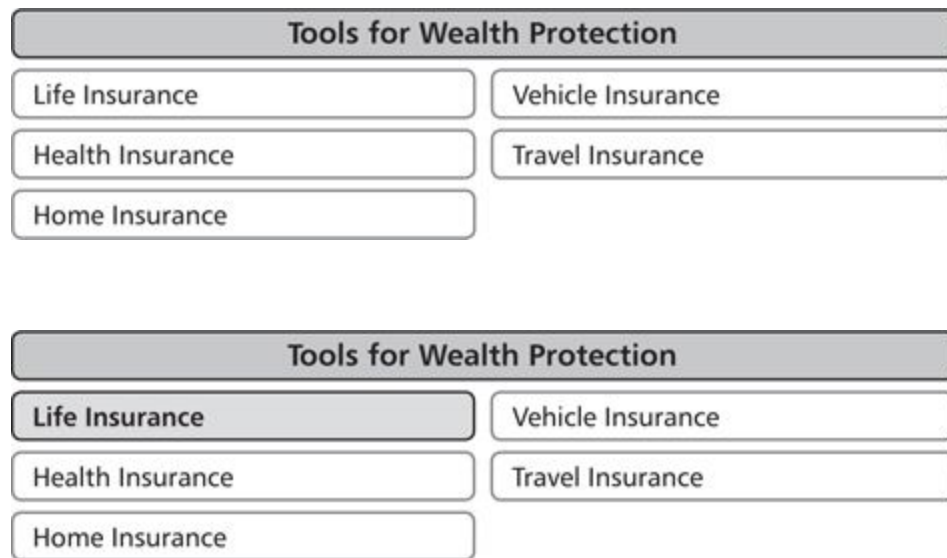




## Life Insurance

This is one of the traditional wealth protection tools that has often been misinterpreted for investment. I have seen that most people do not understand the purpose of life insurance and 'invest' money in insurance policies, looking for good returns at the same time.

Life insurance, or for that matter, any kind of insurance is a mechanism to provide you financial security rather than giving you returns on the invested amount. This tool is, therefore, best leveraged only if it is used for the intent of financial security for yourself and your family, in case you are not alive.

## Important features of a life insurance policy

There are three important aspects of any life insurance policy:

### 1. *The sum assured*

This is the maximum amount of money which is secured for you or your family in case the insurance clause is triggered. Depending on the financial needs of your family, this may vary.